

[Policy Statement](#)

[Scope](#)

[Applicability](#)

[Exclusions/Exceptions](#)

[Authorizations](#)

[Initial Recognition and Measurement](#)

[Subsequent Measurement](#)

[Derecognition](#)

[Presentation](#)

[Financial Statement Line Items Affected](#)

[Related Documents, Tools, and Templates](#)

[Definitions](#)

[Roles and Responsibilities](#)

[Appendix](#)

POLICY NUMBER: **FP-FIN-029**

VARIABLE INTEREST AND VOTING INTEREST Entities

ACCOUNTING POLICY

The purpose of this policy is to document Hilton Worldwide Holding Inc.'s (the "Company" or "Hilton") accounting for Variable Interest Entities ("VIE") and Voting Interest Entities ("VoE") in accordance with US Generally Accepted Accounting Principles ("GAAP") Accounting Standard Codification ("ASC").



POLICY STATEMENT

There are two primary consolidation models under US GAAP that the Company must evaluate when considering whether and/or how to consolidate entities based certain contracts and commitments entered into by Hilton with those entities. The two models are: (1) the Variable Interest Model ("VIE Model") and (2) the Voting Model ("Voting Model"). To determine which accounting model applies, and whether to consolidate a particular entity, the Company first evaluates the entity for consolidation under the VIE Model. If the VIE Model does not apply, then the Company evaluates consolidation under the Voting Model.

SCOPE

A variable interest is a contractual, equity (i.e., ownership) or other financial interest in a legal entity that changes with changes in the fair value of the entity's net assets exclusive of the variable interest. Examples of variable interests that change with changes in the fair value of the entity include but are not limited to:

- Equity investments;
- Beneficial interests and debt instruments;
- Derivative instruments (e.g., forward contracts, swaps, embedded derivatives, etc.);
- Financial guarantees (e.g., guarantee of debt, performance guarantee, etc.).

Refer to the **Authorization** section for a comprehensive listing of items covered by this policy.

APPLICABILITY

This policy applies to all Finance, Asset Management, Development, and Legal personnel.

EXCLUSIONS/ EXCEPTIONS

The following are entities are excluded from a consolidation analysis:

- Employee benefit plans;
- Governmental organizations or financing entities established by a governmental organization;
- Investments made by entities that are investment companies;
- Money market funds required to comply with or operate in accordance with requirements similar to Rule 2a-7 of the Investment Company Act of 1940.¹

In addition to certain exclusions from consolidation, there exist a number of exceptions specific to the VIE Model, including but not limited to the following:

- Not-for-profit entities unless utilized to specifically circumvent the provisions of the VIE Model;
- Separate accounts of life insurance reporting entities;
- Reporting entities with interest in a VIE or potential VIE created before December 31, 2003 if the Company is unable to obtain the information necessary to apply the VIE model;
- A legal entity deemed to be certain businesses as contemplated in the accounting literature.²

Note: The determination of whether any of the above exclusions apply should only be made by the Accounting Research & Policy team. Please contact a member of the Accounting Research & Policy Group or AccountingResearch&Policy@Hilton.com for assistance.

AUTHORIZATIONS

Required Consultations with Accounting Research & Policy

Accounting Research & Policy must approve the accounting for the initial or additional investment in or disposal of a venture or similar entity. Further, Accounting Research & Policy must be notified if any of the following occurs at its non-wholly owned investments (including consolidated and unconsolidated Joint Ventures ("JV")):

1. Amendment to the JV agreements (e.g., shareholder's agreement, articles of incorporation)
2. Additional contributions by existing equity investors

¹ ASC 810-10-15-12, Overall, Scope and Scope Exceptions, Entities

² ASC 810-10-15-17, Overall, Scope and Scope Exceptions, Variable Interest Entities, Entities

3. Issuances of additional equity interests
4. Sale or disposal of an equity interest by any equity investor
5. Returns of equity to investors (i.e., distributions in excess of earnings) which the Company plans to refund (e.g., to fund future hotel renovations)
6. Non-pro rata returns of equity to investors
7. Revisions to equity holders' voting rights
8. Execution, amendment, or termination of any commitments (from any party) to contribute capital or fund loans
9. Appraisals or valuations obtained for equity interests or JV assets
10. Execution, amendment, or termination of any guarantees, put options, or call options
11. Significant curtailment of the entity's existing activities through sale of assets
12. Lapse of any party's rights to control, participate in, or block significant decisions (e.g., a lapse of one party's right to approve the operating budget) or to remove (i.e., kick-out) another party with the power to control any significant decisions
13. Debt financings or refinancings (including shareholder loans)
14. Repayment of loans obtained from any party other than a third-party lender (e.g., a shareholder loan)
15. Retirement of debt at any time other than its contractual maturity date
16. Execution, amendment, or termination of any contracts with the Company (including management agreements, franchise agreements, etc.)
17. Key money or other financial support provided to the entity by the Company or any other party.
18. Leases of significant new assets
19. Revisions to existing lease terms
20. Significant acquisitions of new assets
21. Bankruptcy

Please contact a member of the Accounting Research & Policy Group or AccountingResearch&Policy@Hilton.com.

INITIAL RECOGNITION AND MEASUREMENT

a. VIE Model

Consolidation evaluation always begins with the VIE Model. The VIE Model was designed to identify situations where the Voting Model may not be effective in determining which party has a controlling financial interest in an entity. As such, the VIE Model enables the determination of whether the entity under evaluation should be consolidated based on variable interests or voting interests. There are five key steps to consider when evaluating an entity under the VIE Model:

1. Does a scope exception to consolidation guidance apply?
2. Does a scope exception to the Variable Interest Model apply?
3. If a scope exception does not apply, does the reporting entity have a variable interest in an entity?
4. If the reporting entity has a variable interest in an entity, is the entity a VIE?
5. If the entity is a VIE, is the reporting entity the primary beneficiary of that entity?

See the following for discussion of each step. If the entity is either not within the scope of the VIE Model or is within the scope but is not a VIE per step 4, the Company should apply the Voting Model discussed further within *Section I.b*.

Step 1: Does a scope exception to consolidation guidance apply?

Refer to the **Exclusions** section above for items scoped out of the consolidation guidance and whether any apply to the entity under consideration. If no exceptions apply, the Company should evaluate whether a scope exception to the VIE Model applies.

Step 2: Does a scope exception to the VIE Model apply?

Refer to the **Exclusions** section above for items scoped out of the VIE Model guidance and whether any apply to the entity under consideration. The scope exception that most commonly applies to the Company's investments is the business scope exception. However, this scope exception does not apply in certain cases, most commonly when the Company participated in the design or redesign of the entity or provided more than half of the entity's financing. If an entity is not within the scope of the VIE Model, the consolidating guidance under the Voting Model should be applied³. Refer to Section I.b for discussion of the separate VoE Model.

³ ASC 810-10-15-3, Overall, Scope and Scope Exceptions, General, Entities

If no exceptions apply, the Company should evaluate whether it has a variable interest in the entity.

Step 3: Does the reporting entity have a variable interest in an entity?

In order to determine whether the Company has a variable interest in the entity being evaluated for consolidation, the Company should consider the purpose and design (i.e., activities) of an entity and what risks the entity was designed to create and distribute.⁴ Typically, assets and operations create variability and liabilities and equity interests absorb that variability. Other items, including but not limited to, guarantees, service contracts, or call or put options, may absorb variability. A variable interest is any interest (contractual or otherwise) that absorbs variability the entity was designed to create and distribute.

Things to consider when evaluating the purpose & design of an entity include, but are not limited to, the following:

- The activities of the entity;
- The terms of contracts the entity has entered;
- The nature of the entity's interests issued;
- How the entity's interests were negotiated with or marketing to (potential) investors;
- Which parties significantly participated in the design or redesign of the entity⁵.

Risks that can cause variability to be considered include, but are not limited to, the following:

- Credit risk
- Interest rate risk (including prepayment risk)
- Foreign currency exchange risk
- Commodity price risk
- Equity price risk
- Operations risk⁶
- Changes in fair value of a real estate investment

The Company may invest in joint ventures designed to directly or indirectly control or own hotel real estate assets. In this case, an equity investment absorbs variability created from changes in the value of the underlying real estate.

If the Company concludes it holds a variable interest in an entity, the next step is to determine if the entity is a VIE.

Step 4: Is the entity a VIE?

The initial determination of whether a legal entity is a VIE should be made on the date at which the Company becomes involved with the entity (i.e., ownership, contractual interests, etc.) based on the circumstances on that date including future changes that are required in existing arrangements.⁷

The distinction between a VIE and a VoE is based on the nature and amount of the equity investment and the rights and obligations of the equity investors. If an entity does not have sufficient equity to finance its operations without additional subordinated financial support or when decisions to direct significant activities of the entity involve an interest other than the at-risk equity interests, the entity is likely a VIE.

An entity is a VIE if it has any of the following characteristics (see also examples):

Characteristic	Description	Examples
The entity does not have enough equity to finance its activities without additional subordinated financial support (insufficient equity at risk). ⁸	The entity does not have enough equity to obtain funds at market terms from lenders or other investors.	Initial investors provide convertible debt instruments versus equity. Equity holders have option to sell their interest to a non-equity holder at a fixed price

⁴ ASC 810-10-25-22, Overall, Recognition, Variable Interest Entities, Determining the Variability to Be Considered
⁵ ASC 810-10-25-25, Overall, Recognition, Variable Interest Entities, Determining the Variability to Be Considered
⁶ ASC 810-10-25-24, Overall, Recognition, Variable Interest Entities, Determining the Variability to Be Considered
⁷ ASC 810-10-25-37, Overall, Recognition, Variable Interest Entities, Initial Involvement with a Legal Entity
⁸ ASC 810-10-15-14, Overall, Scope and Scope Exceptions, Variable Interest Entities, Entities

The equity holders, as a group, lack the characteristics of a controlling financial interest. ⁷	Equity holders (as a group) cannot direct the significant economic activities of an entity through their voting rights and/or are not required to absorb losses or have the right to received returns.	An Asset Manager which holds a variable interest through a service contract has all decision making power over the real estate that is the primary asset of a joint venture.
The entity is structured with non-substantive voting rights (anti-abuse test). ⁷	Voting rights of some investors are not proportional to their obligations/rights to absorb losses/receive returns and substantially all of the entity's activities are conducted on behalf of an investor with disproportionately few voting rights.	An entity has equity at risk but non-substantive voting rights.

Additionally, for a partnership or similar entities to not be considered a VIE either of the following criteria must be met:

- A single limited partner or partners with a simple majority or lower threshold of voting interests with equity at risk are able to exercise substantive kick-out rights.
- Limited partners with equity at risk are able to exercise substantive participating rights.

If the Company concludes that it has a variable interest in a VIE, the Company should then evaluate whether it is the Primary Beneficiary ("PB") of the VIE.⁹

If an entity is not a VIE, the consolidating guidance under the Voting Model should be applied¹⁰. The Voting Model has separate guidance for evaluating whether to consolidate corporations and similar entities and whether to consolidate limited partnerships and similar entities (e.g., some LLCs). Please refer to the separate VoE Model section discussed below.

Step 5: Is the reporting entity the PB of that entity?

The PB analysis is qualitative and based on power and benefits. The Company is the PB of a VIE if it has a controlling financial interest in the VIE, and deemed to have both of the following characteristics:

- The power to direct the activities of a VIE that most significantly impact the VIE's economic performance, and;
- The obligation and/or right to absorb losses and/or receive benefits of the VIE that could potentially be significant to the VIE.

Only one reporting entity, if any, can be the PB of a VIE.¹¹

As part of the power assessment, the Company should consider whether kick-out rights, participating rights or protective rights are present. Substantive kick-out rights and substantive participating rights typically provide the holder of such rights with power. The party that has the unilateral ability to exercise such rights may be the party with power despite another party's decision-making ability.¹²

If the Company determines it has both power and benefits and therefore, a controlling financial interest in the VIE, the Company should consolidate the entity.

b. VoE Model

The Voting Model can be subdivided into two categories: (1) consolidation of corporations and (2) consolidation of limited partnerships and similar entities. Consolidation of corporations is generally based on whether a reporting entity directly or indirectly controls 50% of the outstanding voting shares.¹³ Given the purpose and design of limited partnerships, kick-out

⁹ ASC 810-10-25-38, Overall, Recognition, Variable Interest Entities, Consolidation Based on Variable Interest

¹⁰ ASC 810-10-15-3, Overall, Scope and Scope Exceptions, General, Entities

¹¹ ASC 810-25-38A, Overall, Recognition, Variable Interest Entities, Consolidation Based on Variable Interests

¹² ASC 810-25-38C, Overall, Recognition, Variable Interest Entities, Consolidation Based on Variable Interests

¹³ ASC 810-10-15-8, Overall, Scope and Scope Exceptions, Entities

rights through voting interests are analogous to voting rights held by shareholders of a corporation. For limited partnerships that are not VIEs, the usual condition for a controlling financial interest, as a general rule, is ownership by one limited partner, directly or indirectly, of more than 50 percent of the limited partnership's kick-out rights through voting interests¹⁴. In both cases, however, power to control may also exist with a lesser percentage ownership, for example, by contract, lease or other arrangement. Conversely, 50 percent ownership by one limited partner may not provide power in the event that the limited partnership require supermajority (e.g., 75 percent of voting rights) to pass a resolution. The facts and circumstances in each situation should be carefully evaluated in determining whether to consolidate an entity.

In addition to evaluating whether the Company has a controlling financial interest, the Company should also evaluate the rights of the noncontrolling shareholders or partners. If the noncontrolling shareholders or partners hold substantive participating rights or kick-out rights, consolidation may not be required. This is because substantive participating rights or kick-out rights limit and/or can block the majority shareholder's decision making power (and control), requiring agreement of the other noncontrolling shareholders or partners in order to take action.¹⁵

c. Consolidation

Upon determining consolidation is required under the VIE Model, the assets, liabilities and noncontrolling interest of the VIE should be measured. How they are measured can vary based on various circumstances.

If the Company is consolidating a VIE or VoE that is a business, the consolidation will be accounted for as a business combination. Refer to **FP-FIN-035 – Business Combinations** for guidance on accounting for a business combination. If the Company is consolidating a VoE that is not a business, the consolidation will be accounted for as an asset acquisition. Refer to **Appendix I in FP-FIN-035 – Business Combinations** for guidance on accounting for an asset acquisition. If consolidation is not required under the VIE or VoE model, refer to **FP-FIN-004 - Cost and Equity Method Accounting Policy**.

If the Company is consolidating a VIE that is not a business, all identifiable assets, liabilities assumed and noncontrolling interests should be recognized at fair value. No goodwill should be recognized.¹⁶ A gain or loss should be recognized for the difference between the sum of: (1) the fair value of any consideration paid, (2) the fair value of any noncontrolling interests and (3) the reported amount of any previously held interests and the net amount of the VIE's identifiable assets and liabilities.¹⁷

SUBSEQUENT MEASUREMENT

a. Subsequent Accounting

After the initial measurement, the assets, liabilities and NCI of a consolidated VIE and VoE are accounted for similarly. The consolidated entity should follow the requirements for elimination of intra-entity balances and transactions.¹⁸ Fees or other sources of income or expense between the Company and a consolidated VIE or VoE should be eliminated against the related expense or income of the VIE or VoE.¹⁹ The resulting effect is then attributed to the Company in the consolidated financial statements.²⁰

b. Changes in Ownership

The accounting for a change in the Company's ownership interest where the Company retains its controlling financial interest in its subsidiary is accounted for as an equity transaction. No gain or loss is recognized in consolidated net income or comprehensive income. The carrying amount of NCI is adjusted to reflect changes in ownership interest in the subsidiary. Any difference between the fair value of the consideration received or paid and the amount by which the NCI is adjusted is recognized in equity attributable to the Company.²¹

A change in the Company's ownership interest might occur in a subsidiary that has accumulated other comprehensive income ("AOCI"). In that case, the carrying amount of the AOCI is adjusted to reflect the change in ownership interest in the subsidiary through a comprehensive change or credit to equity attributable to the parent.²²

¹⁴ ASC 810-10-25-1A, Overall, Recognition, General

¹⁵ ASC 810-10-15-10(a), Overall, Scope and Scope Exceptions, Entities

¹⁶ ASC 810-10-30-3, Overall, Initial Measurement, Variable Interest Entities, All Primary Beneficiaries

¹⁷ ASC 810-10-30-4, Overall, Initial Measurement, Variable Interest Entities, All Primary Beneficiaries

¹⁸ ASC 810-10-45-1, Overall, Other Presentation Matters, General, Procedures

¹⁹ ASC 810-10-50-1A, Overall, Disclosure, General, Parent with a Less-Than-Wholly-Owned Subsidiary

²⁰ ASC 810-10-35-3, Overall, Subsequent Measurement, Variable Interest Entities

²¹ ASC 810-10-45-23, Overall, Other Presentation Matters, General, Changes in a Parent's Ownership Interest in a Subsidiary

²² ASC 810-10-45-24, Overall, Other Presentation Matters, General, Changes in a Parent's Ownership Interest in a Subsidiary

c. VIE Reconsideration Event

The VIE Model requires the Company to reevaluate whether an entity is a VIE upon the occurrence of certain significant events. The Company should understand whether any events requiring reassessment could occur and, if so, monitor the activities of the entities in which it holds a variable interest.

If any of the following occur, the initial determination of whether a legal entity is a VIE shall be reconsidered:

- a. The legal entity's governing documents or contractual arrangements are changed in a manner that changes the characteristics of adequacy of the legal entity's equity investment at risk
- b. The equity investment or some part thereof is returned to the equity investors, and other interests become exposed to expected losses of the legal entity.
- c. The legal entity undertakes additional activities or acquires additional assets, beyond those that were anticipated at the later of the inception of the entity or the latest reconsideration event, that increases the entity's expected losses.
- d. The legal entity receives an additional equity investment at risk, or the legal entity curtails or modifies its activities in a way that decreases its expected losses.
- e. Changes in facts and circumstances occur such that the holders of the equity investment at risk, as a group, lose the power from voting rights or similar rights of those investments to direct the activities of the entity that most significantly impact the entity's economic performance.²³

Refer to the **Authorization** section above for examples of potential reconsideration events applicable to the Company.

d. Primary Beneficiary Reconsideration Event

The VIE Model requires the Company to continuously assess whether it is the PB of a VIE; however, this should occur only when circumstances arise that suggest a change in the Company's status as the PB. Typically, a change in PB status will occur where there is a change in the Company's power or benefits related to a VIE. Some examples that can cause a change in PB applicable to the Company include, but are not limited to:

- Acquisition or sale of interests that constitute a change in control;
- Lapse of certain rights such as participating or substantive kick-out rights and/or;
- Termination of contractual arrangements that conveyed power.

The continuous assessment of a PB is consistent with the application of overall Consolidation guidance to VoEs, which implicitly requires continuous consideration of whether consolidation is required.

DERECOGNITION

Where changes in circumstances or an arrangement occur resulting in the Company ceasing to have a controlling financial interest in an entity under either the VoE or VIE model, or is no longer considered the PB of a VIE, the Company will deconsolidate the entity and therefore, derecognize the underlying assets, liabilities and equity components.²⁴ This applies where the subsidiary is a business and the transaction does not meet other guidance that directly addresses the accounting treatment (e.g., sale of in substance real estate).²⁵

The equity components will include NCI as well as amounts previously recognized in AOCI. If the entity being deconsolidated is a foreign entity, the amount of AOCI that is reclassified and included in the calculation of the gain or loss should include any foreign currency translation adjustment related to the foreign entity.²⁶

In order to account for a gain or loss resulting from the deconsolidation of an entity, the Company should measure the difference between:

- a. The aggregate of the following:
 1. The fair value of any consideration received.
 2. The fair value of any retained NCI at the date the entity is deconsolidated.
 3. The carrying amount of any NCI in the entity at the date the entity is deconsolidated.
- b. The carrying amount of the entity's assets and liabilities.²⁷

²³ ASC 810-10-35-4, Overall, Variable Interest Entities, Reconsideration of Initial Determination of VIE Status

²⁴ ASC 810-10-40-4, Overall, Derecognition, General, Deconsolidation of a Subsidiary or Derecognition of a Group of Assets

²⁵ ASC 810-10-40-3A, Overall, Derecognition, General, Deconsolidation of a Subsidiary or Derecognition of a Group of Assets

²⁶ ASC 810-10-40-4A, Overall, Derecognition, General, Deconsolidation of a Subsidiary or Derecognition of a Group of Assets

²⁷ ASC 810-10-40-5, Overall, Derecognition, General, Deconsolidation of a Subsidiary or Derecognition of a Group of Assets

PRESENTATION

When reporting the consolidated net assets of an entity, both assets and liabilities (excluding liabilities where creditors have recourse to the Company) of a VIE should be presented separately in the Company's statement of financial position.²⁸ NCI should be reported in the consolidated statements of financial position within equity, separately from the parent's equity.²⁹

FINANCIAL STATEMENT LINE ITEMS AFFECTED

Various financial statement line items of the Company's consolidated financial statements will be affected upon consolidation. The entity's assets and liabilities should be presented consistent with their respective major class (e.g., cash, accounts receivable, property, plant and equipment, etc.) and NCI is recognized within equity. Similarly, results of operations, cash flows and equity activity should be presented consistently with the nature of the underlying revenues and expenses, cash inflows or outflows and equity class activity.

Note: The following section addresses the financial statement line items affected by the accounting for routine transactions covered by this policy (R&P consultation may be required per the authorization section above). For all transactions that require a consultation with R&P, please defer to the guidance provided by R&P regarding the appropriate financial statement line items affected by the transaction.

<u>Transaction</u>	<u>Affected</u>		
	Balance Sheet Line Item	Income Statement Line Item	Cash Flow Statement Section
Income attributable to NCI	- Noncontrolling Interest (credit)	- Net Income attributable to noncontrolling interests (debit)	- Operating Activities (inflow)
Loss attributable to NCI	- Noncontrolling Interest (debit)	- Net Income attributable to noncontrolling interests (credit)	- Operating Activities (outflow)
Distributions to NCI	- Cash (credit); - Noncontrolling Interest (debit)	- N/A	- Financing Activities (outflow)

RELATED DOCUMENTS, TOOLS, AND TEMPLATES

POLICIES & PROCEDURES

[FP-FIN-004 – Cost and Equity Method Accounting Policy](#)

[FP-FIN-035 – Business Combinations Policy](#)

TERM/ACRONYM

DEFINITION

Decision Maker

An entity or entities with the power to direct the activities of another legal entity that most significantly impact the legal entity's economic performance according to the provisions of the Variable Interest Entities Subsections of Subtopic 810-10.

Foreign Entity

An operation (for example, subsidiary, division, branch, joint venture, and so forth) whose financial statements are both: (a) prepared in a currency other than the reporting currency of the reporting entity; (b) Combined or consolidated with

²⁸ ASC 810-10-45-25, Overall, Other Presentation Matters, Variable Interest Entities

²⁹ ASC 810-10-45-16, Overall, Other Presentation Matters, General, Noncontrolling Interest in a Subsidiary, Nature and Classification of the Noncontrolling Interest in the Consolidated Statement of Financial Position

VARIABLE INTEREST AND VOTING INTEREST ENTITIES ACCOUNTING POLICY

	or accounting for on the equity basis in the financial statements of the reporting entity.
Kick-Out Rights (VIE)	The ability to remove the reporting entity with the power to direct the activities of a VIE that most significantly impact the VIE's economic performance or to dissolve (liquidate) the VIE without cause.
Kick-Out Rights (VoE)	The rights underlying the limited partners or partners' ability to dissolve (liquidate) the limited partnership or otherwise remove the general partners without cause.
Legal Entity	Any legal structure used to conduct activities or to hold assets. Some examples includes, corporations, partnerships and/or LLCs.
Noncontrolling Interest ("NCI")	The portion of equity (net assets) in a subsidiary not attributable, directly or indirectly, to a parent. A noncontrolling interest is sometimes called a minority interest.
Participating Rights (VIE)	The ability to block or participate in the actions through which an entity exercises the power to direct the activities of a VIE that most significantly impact the VIE's economic performance. Participating rights do not require the holders of such rights to have the ability to initiate actions.
Participating Rights (VoE)	Participating rights allow the limited partners or noncontrolling shareholders to block or participate in certain significant financial and operating decisions of the limited partnership or corporation that are made in the ordinary course of business. Participating rights do not require the holders of such rights have the ability to initiate actions.
Power	For VIEs it refers to the ability to direct activities of a VIE that most significantly impact the VIE's economic performance, when those events or circumstances arise.
Primary Beneficiary	The entity that consolidates a VIE.
Protective Rights	Rights designed to protect the interests of the party holding those rights without giving that party a controlling financial interest in the entity to which they relate.
Variable Interest Entity ("VIE")	A legal entity subject to consolidation according to the provisions of the VIE Model.
Voting Interest Entity ("VoE")	An entity that is not a VIE. The equity investment at risk is deemed sufficient to absorb the expected losses of the entity, the at-risk equity holders, as a group, have all of the characteristics of a controlling financial interest and the entity is structured with substantive voting rights.

ROLES AND RESPONSIBILITIES

ENTITY/PERSONNEL	RESPONSIBILITIES
For questions refer to AccountingResearch&Policy@Hilton.com	The email represents the Accounting Research & Policy contact address. Please direct any questions regarding the interpretation or implementation of this policy to a member of the Accounting Research and Policy team or the listed e-mail.

APPENDIX

Appendix I: Consolidation Flow Chart

